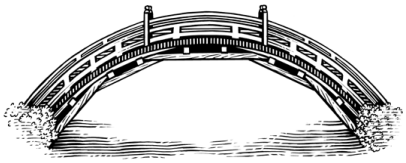
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ROUNDTABLE

Building Geoeconomic Toolkits: Asia-Pacific Middle Powers in an Era of Strategic Competition



Jia Hui Tee

Jenny Gordon

Dan Ciuriak

Tanvi Madan

Shihoko Goto

Seungjoo Lee

Arianto A. Patunru

Ong Kian-Ming

Chin-Hao Huang, Scarlet Xu Ni, and Mae Chow

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Introduction

Jia Hui Tee

In response to growing fragmentation in the global political and economic landscape, Asia-Pacific middle powers have emerged as important players in shaping the regional, if not global, geoeconomic order. Their exposure to Chinese economic leverage, dependence on U.S.-led security arrangements, and role in strategic supply chains—especially semiconductors and critical minerals—imbue them with both vulnerability and influence under intensifying U.S.-China rivalry.

This *Asia Policy* roundtable brings together eight essays examining how Asia-Pacific middle powers—Australia, Canada, India, Japan, South Korea, Indonesia, Malaysia, and Singapore—are each building geoeconomic toolkits to navigate, and in some cases leverage, these structural shifts in the global order. Although these strategies are varied and still evolving, three broad trends emerge: diversifying trade and investment links, using industrial policy to strengthen national resilience, and selectively aligning, balancing, or hedging along specific nodes of geoeconomic competition.

Australia, Canada, and India show how middle powers outside East Asia are recalibrating under different constraints. Jenny Gordon points out that Australia's economic security depends less on self-sufficiency than on positioning the country as a valuable, reliable trading partner amid weakening global rules. Dan Ciuriak casts Canada's approach as one of diversification, domestic capability-building, and pragmatic management of dependence on Washington. India is adopting a more explicit hedging strategy. Tanvi Madan examines India's effort to de-risk from China, strengthen self-reliance, and diversify partnerships to enhance supply chain resilience as it grapples with Chinese economic rivalry and U.S. tariff pressures.

Japan and South Korea illustrate sharper dilemmas as U.S. allies that also have significant trade ties with China. This dual exposure raises the costs of overt alignment, but economic and national security pragmatism has increasingly drawn both countries closer to the United States. Shihoko Goto argues that Japan's pursuit of technological competitiveness at the core of its economic security vision necessitates strategic alignment with Washington to avoid ceding technological dominance to China.

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Seungjoo Lee writes that South Korea's efforts to reduce structural trade vulnerabilities and overdependence on the Chinese market have made U.S.-led initiatives central to its foreign trade strategy.

Export-oriented Association of Southeast Asian Nations (ASEAN) economies, including Indonesia, Malaysia, and Singapore, are embedding themselves in critical supply chains and global trade networks to manage U.S.-China competition without compromising on autonomy. Arianto A. Patunru highlights Indonesia's use of critical minerals to strengthen bargaining power. Ong Kian-Ming presents Malaysia as an "indispensable middle" in contested semiconductor supply chains and, increasingly, in data center infrastructure. Chin-Hao Huang, Scarlet Xu Ni, and Mae Chow argue that trade agreements and institutions underpin Singapore's outsized diplomatic and economic capital.

Collectively, the essays show that Asia-Pacific middle powers are not peripheral to geoeconomic competition. While their strategies vary by geography, alliance commitments, and economic exposure, they converge on a shared objective to preserve strategic autonomy while managing trade dependency. Through diversification, industrial policy, supply chain positioning, and institutional engagement, these states are building toolkits that can shape the region's emerging geoeconomic architecture by influencing trade governance and forging coalitions that help preserve flexibility across competing partnerships. ◈

The Geoeconomic Statecraft of Small and Middle Powers amid Great-Power Rivalry: Singapore's Leverage and Challenges

Chin-Hao Huang, Scarlet Xu Ni, and Mae Chow

The U.S.-led international order is undergoing a tumultuous recalibration.[1] Central to this change are the escalation of great-power rivalry and the erosion of the liberal international economic order, which are together accelerating the fragmentation of the global economy. Economic tools have become "instruments of statecraft to advance national interests," resulting in the so-called ally-shoring of supply chains and the politicization of market access.[2] The deterioration of both the external security and economic environments is narrowing nearly all countries' room to maneuver and ability to exercise their agency.

Singapore, an island city-state in Southeast Asia, is not immune to these accelerating transformations and is actively working to continue to "punch above its weight."[3] Once considered a pure "price-taker" in the international system and not even economically viable as a state,[4] Singapore since independence has constructed substantial geoeconomic leverage. Through active participation in multilateral institutions and the cultivation of global economic networks, Singapore has become a small but emergent power capable of asserting agency and projecting influence

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1 Lawrence Wong, "PM Lawrence Wong at the S Rajaratnam Lecture 2025," Prime Minister's Office (Singapore), April 16, 2025 ~ https://www.pmo.gov.sg/newsroom/pm-lawrence-wong-at-the-s-rajaratnam-lecture-2025.

2 Ibid.

3 Barack Obama, "Remarks by President Obama and Prime Minister Lee of Singapore in Joint Press Conference," White House, August 2, 2016 ~ https://obamawhitehouse.archives.gov/the-press-office/2016/08/02/remarks-president-obama-and-prime-minister-lee-singapore-joint-press.

4 Lee Kuan Yew, "Speech by Senior Minister Lee Kuan Yew at the SCCCI Millennium Celebration Dinner, Tuesday, 28 Dec 1999, 8 PM," Ministry of Information and the Arts (Singapore), December 28, 1999 ~ https://www.nas.gov.sg/archivesonline/data/pdfdoc/1999122802.htm; and Evelyn Goh and Wee-Kiat Lim, "Strategic Diplomacy: The Singapore Case," Singapore Management University, January 2024 ~ https://ink.library.smu.edu.sg/cmp_research/25.

in international affairs. It thus presents an empirically significant case and puzzle: how and why has a small state with limited resources been able to construct and sustain geoeconomic leverage disproportionate to its material capabilities?

This essay examines how Singapore utilizes geoeconomic leverage and economic statecraft to manage external challenges, with a focus on the U.S.-China great-power rivalry.[5] Singapore's geoeconomic leverage is not just accumulated but conditional: it depends on an open system that is now eroding. As great-power rivalry intensifies, the networks that once enabled autonomy increasingly expose Singapore to coercion, raising new challenges for the city-state. The essay first introduces the historical foundations of Singapore's geoeconomic leverage and then analyzes its active engagement with both great powers. It subsequently evaluates how emerging structural challenges threaten the viability of Singapore's geoeconomic toolkit and long-held dual-engagement policy. The essay concludes by drawing implications for the regional order and how small states like Singapore must build forward-looking strategies to enhance their security and greater economic resilience.

Historical Foundations

Economic instruments have been central to Singapore's foreign and national security policy since independence in 1965.[6] As a trading nation with limited resources and no hinterland, Singapore was perceived as "too small to survive on its own."[7] Dependence on trade has made cultivating global trading relationships and strategic relevance key to the nation's survival.[8]

Thus, survival necessitated an outward-oriented approach that involved embedding itself within the global economy and developing extensive networks to expand its economic space. From the 1960s to the

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5 Economic statecraft is defined here as the use of economic instruments to pursue foreign policy goals and strategic interests. See James Lee, "Defining Geoeconomics, Economic Statecraft, and the Political Economy of National Security," in *The Oxford Handbook of Geoeconomics and Economic Statecraft*, ed. Vinod K. Aggarwal and Tai Ming Cheung (Oxford: Oxford University Press, 2025).

6 Goh and Lim, "Strategic Diplomacy: The Singapore Case."

7 Ong Ye Kung, "Live from Parliament: Ong Ye Kung, Tan See Leng Speak on Singapore's Free Trade Agreements and CECA," CNA, July 5, 2021, YouTube, 3:26:01 ~ https://www.youtube.com/watch?v=9EwZq4qDgXI; and ibid.

8 Lee Hsien Loong, "PM Lee Hsien Loong at the Debate on the Motion of Thanks to the President 2023," Prime Minister's Office (Singapore), April 19, 2023 ~ https://www.pmo.gov.sg/newsroom/pm-lee-hsien-loong-at-the-debate-on-the-motion-of-thanks-to-the-president.

1990s, under a wide range of U.S. security and economic initiatives such as Exercise Commando Sling and Exercise Valiant Mark and a generous loan and expansion investment program,[9] Singapore accumulated substantial diplomatic and economic capital that enriched its policy choices and the geoeconomic tools at its disposal. On the domestic level, Singapore emerged as a regional economic powerhouse and a global financial hub, strengthening its structural leverage through industrial policy. At the bilateral level, it expanded two-way trade and investment networks through trade agreements. At a regional and global levels, Singapore supported the negotiations that led to the establishment of the World Trade Organization (WTO) and was invited to "take a ringside seat" by hosting the first WTO ministerial conference in 1996.[10] There, it helped advance global trade priorities known as the "Singapore issues"—investment security, competition policy, transparency in government procurement, and trade facilitation—as well as playing an active committee role. It also worked through regional institutions such as the Association of Southeast Asian Nations (ASEAN), of which Singapore was a founding member, paving the way for numerous intraregional and extraregional free trade agreements (FTAs).

Notably, shortly after independence, Singapore concluded a trade agreement with the Soviet Union in 1966, one year before co-founding ASEAN, an organization established partly in response to Communist expansion in Southeast Asia. The agreement, despite carrying strong diplomatic motivations, reflected a broader willingness to engage diverse partners irrespective of ideological alignment.[11] This pragmatic, ideologically unconstrained approach remains the operating logic of Singapore's dual engagement with China and the United States.

Hedging by Design: Singapore's Geoeconomic Toolkit

These early decades of accumulating geoeconomic and diplomatic leverage afforded Singapore flexibility and policy space to maneuver around

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9 "U.S. Security Cooperation with Singapore," U.S. Department of State, January 20, 2025; and Richard Hu, "Development of Singapore's Financial Sector—the Philosophies and Prospects" (conference presentation, Southeast Asia Markets and Investment, Singapore, November 14, 1989) ~ https://www.nas.gov.sg/archivesonline/data/pdfdoc/httr19891114s.pdf.

10 Chak Mun See, "Singapore's Role in Multilateral Trade Negotiations," in *50 Years of Singapore and the United Nations*, ed. Tommy Koh, Li Lin Chang, and Joanna Joh (Singapore: World Scientific, 2015), 61–65.

11 Mark Hong, "Russia-Singapore Relations: Thirty-Seven Years of Cooperation and Dialogue," in *ASEAN-Russia Relations*, ed. Gennady Chufrin, Mark Hong, and Teo Kah Beng (Singapore: ISEAS–Yusof Ishak Institute, 2006).

China's challenge to U.S. hegemony after the 2008 global financial crisis.[12] As early as the 1990s, Singapore, along with most Southeast Asian countries, advocated for socializing China into liberal economic norms. China's 2001 entry into the WTO and later the global financial crisis accelerated its ascendance. Since 2009, China has become Southeast Asia's top trading partner, solidifying its economic strength and influence in the region. By 2016, Singapore's policymakers had acknowledged China's ascendency and its great-power status—a recognition that transformed national engagement with China from socializing a rising power into international liberal order to managing a peer competitor of the hegemon.[13] While there are also broader changes and challenges in the system shaping the international environment, including collective action problems and technology innovations, the great-power rivalry is a defining feature of the emerging global order.[14]

In response to this shifting distribution of capabilities, Singapore's strategic aim has been to keep the United States committed economically and militarily to the region while integrating China peacefully and mutually beneficially into the global order.[15] Trade and investment arrangements are the primary instruments through which Singapore pursues this aim. Persuasive geoeconomic tools,[16] such as FTAs, form the bedrock of Singapore's geoeconomic toolkit, grounded in the expectation that trade will deepen interdependence and increase stakes in stable bilateral relations.[17]

Bilateral tracks with China and the United States. As noted above, Singapore's use of geoeconomic tools to engage China predated the latter's ascendency. Singapore supported China's opening up through the Singapore-China Trade Agreement in 1979 and eventual WTO entry. Beyond trade arrangements, Singapore also pursued industrial projects and development cooperation, including the Suzhou Industrial Park in Jiangsu Province in 1994. After establishing diplomatic relations with China in 1990, Singapore deepened its economic ties through ASEAN-level and

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12 "China Economy: Already Larger Than U.S.," Globalist, September 26, 2015 ~ https://www.theglobalist.com/china-economy-usa-gdp-dollars.

13 Goh and Lim, "Strategic Diplomacy: The Singapore Case."

14 Lee Hsien Loong, "National Day Rally 2019 (Mandarin)," Prime Minister's Office (Singapore), August 18, 2019, English translation available ~ https://www.pmo.gov.sg/newsroom/national-day-rally-2019-speech-chinese.

15 Goh and Lim, "Strategic Diplomacy: The Singapore Case."

16 Christina Lai, "Finding the Trade-Security Nexus: Taiwan's Economic Statecraft from 2009 to 2021," Pacific Review 36, no. 5 (2023): 1067–93 ~ https://doi.org/10.1080/09512748.2023.2200024; and Lee, "Defining Geoeconomics."

17 Goh and Lim, "Strategic Diplomacy: The Singapore Case."

bilateral FTAs, namely the ASEAN-China Free Trade Agreement in 2003 and China-Singapore Free Trade Agreement in 2009. China has been Singapore's largest trading partner since 2013, with Singapore importing mostly electrical and electronic equipment as well as mineral fuels and oils, which are used as inputs in value-added production for export.[18] In 2013, Singapore also became China's largest source of new investment due to business confidence in its strategic presence, robust regulatory framework, and sociopolitical stability.[19]

Singaporean leaders have long recognized what some scholars have called the likely trend toward a system of "dual hierarchy" in Asia, underscoring both the opportunities associated with China's rise and the need to keep the United States engaged as the offshore balancer to remain the deterrer of first resort.[20] The United States, at least before President Donald Trump's second term, was perceived as a benign and irreplaceable power that underpinned the region's stability and prosperity.[21] Singapore has close economic ties with the United States: the 2003 U.S.-Singapore FTA was Washington's first FTA with an Asian economy, and the United States has been Singapore's top source of investment.[22] In 2021, Singapore and the United States launched the Partnership for Growth and Innovation, which aims to enhance economic collaboration in advanced manufacturing, critical and emerging technology, and clean energy.[23] The United States is Singapore's largest services trading partner, with bilateral services trade reaching $57.8 billion in 2024.[24] In merchandise trade, the United States is Singapore's second-largest source of imports and third-largest export destination, with bilateral goods trade amounting to nearly $80 billion in 2024. Beyond the economic dimension, Singapore maintains a security partnership with Washington through a memorandum of

18 "Singapore-China Bilateral Relations: Trade and Investment Outlook," HSBC, June 24,2024 ~ https://www.businessgo.hsbc.com/en/article/singaporechina-bilateral-relations-trade-and-investment-outlook.

19 Ibid.

20 G. John Ikenberry, "Between the Eagle and the Dragon: America, China, and Middle State Strategies in East Asia," *Political Science Quarterly* (2015): 1–35 ~ https://gji3.scholar.princeton.edu/sites/g/files/toruqf2666/files/gji3/files/between_the_eagle_and_the_dragon.pdf; and Cheng-Chwee Kuik, "The Essence of Hedging: Malaysia and Singapore's Response to a Rising China," *Contemporary Southeast Asia* 30, no. 2 (2008): 159–85 ~ https://doi.org/10.1355/CS30-2A.

21 Goh and Lim, "Strategic Diplomacy: The Singapore Case."

22 "Power BI Report Foreign Direct Investment in Singapore Dashboard," Department of Statistics (Singapore), 2026.

23 "About Singapore-U.S. Relations," Ministry of Foreign Affairs (Singapore), April 16, 2026 ~ https://washington.mfa.gov.sg/about-singapore-us-relations.

24 "Singapore," Office of the U.S. Trade Representative ~ https://ustr.gov/countries-regions/southeast-asia-pacific/singapore.

understanding on the U.S. use of Singaporean military facilities and a strategic framework agreement in place since 2005. The combination of economic and defense instruments serves a dual purpose of enhancing the city-state's economic relevance to Washington and securing the U.S. security presence in the region.

Regional and multilateral architecture. Apart from bilateral engagement, Singapore mobilizes regional economic arrangements and institutions, especially ASEAN, to build resilience, deepen its relationships with great powers, and diversify its partnerships. ASEAN's FTAs have increased intra-group trade, accelerated the economic integration of member states, and enhanced the group's collective economic leverage in negotiations. ASEAN's role in leveling up Singapore's clout extends beyond trade to broader and more proactive efforts to strengthen regional resilience. The group's responses to global crises—from financial shocks to public health crises to trade disruptions—highlight its incremental adaptation and efforts to develop collective response mechanisms.[25] To this end, Singapore has committed to supporting the newer ASEAN members with its Initiative for ASEAN Integration, under which it has established in-country training courses and provided technical expertise to Cambodia, Laos, Myanmar, and Vietnam.[26] Beyond the region, ASEAN has brought in the major economic powerhouses of the Indo-Pacific, establishing ASEAN +1 FTAs with Australia, China, India, Japan, and South Korea. While Singapore holds bilateral FTAs with these partners as well, the variation in provisions across the ASEAN +1 and standalone FTAs is complementary rather than duplicative. Beyond securing market access, they help uphold the rules-based trading system and enable Singapore to exert influence greater than its stature, while reducing over-reliance on any single market and mitigating exposure to external shocks.

Building on this network, Singapore and other ASEAN members initiated the Regional Comprehensive Economic Partnership (RCEP), the world's largest FTA, which took effect in 2022 and includes about 30% of the global population and global GDP. Despite criticism of the RCEP as a low-ambition agreement with relatively shallow commitments, its strategic value lies in bolstering ASEAN's collective diplomatic weight and binding

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25 Barbora Valockova and Mae Chow, "ASEAN's Evolving Economic Security Mechanisms: Toward Economic Security in ASEAN," ed. Denis Hew and Su-Hyun Lee, special issue, *Contemporary Southeast Asia* 48, no. 1 (2026): 129–60.

26 Hank Lim, "Singapore," in *ASEAN and Member States: Transformation and Integration*, ed. Ponciano Intal Jr. and Lurong Chen, ASEAN@50, vol. 3 (Jakarta: Economic Research Institute for ASEAN and East Asia, 2017), 199–217.

China within a regional framework. It also affirms ASEAN centrality—a convening role in regional economic architecture that Singapore's bilateral channels alone cannot deliver.

Singapore is also a founding member of another mega-FTA: the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP), which entered into force in 2018. The CPTPP was preceded in negotiations by the Trans-Pacific Partnership (TPP), which could have further integrated the United States economically into the Indo-Pacific if the United States had not withdrawn during Trump's first term, which led the remaining states to form the CPTPP.[27] The depth and coverage of the CPTPP's provisions are unmatched across extant FTAs. It provides members extensive market access and advances high-standard trade norms as the global trade architecture shifts from a WTO-centered system to a more fragmented multilateral landscape. The in-depth commitments of the CPTPP allow like-minded economies to pursue meaningful economic cooperation and shape liberal trade norms. These strategic benefits have attracted multiple states to apply for accession, including China.

China's application, though mixed with the clear geopolitical intent of blocking Taiwan's accession and potentially aimed at filling the current leadership vacuum left by the United States, reveals how small and middle powers like Singapore utilize geoeconomic tools to expand their networks through bilateral and multilateral agreements that socialize and manage great powers. Accession requires demonstrating conformity with all CPTPP provisions, including chapters on labor standards and state-owned enterprises. Though some exceptions are anticipated, China has nonetheless been aligning its domestic regulations with CPTPP standards. The depth and durability of these reforms are uncertain, given that some provisions touch on well-known Chinese red lines. The dynamic, however, illustrates how small and middle powers can deploy geoeconomic instruments to influence—and, to some extent, moderate—great powers' behavior.

Singapore has also actively diversified its alternative economic partnerships to reduce vulnerability to external shocks and geopolitical risks. Singapore's trade network has expanded from 115 partners in 1991 to 220 in 2023,[28] with new FTAs continuing to broaden this reach, including the Mercosur-Singapore FTA with Paraguay and Uruguay in early 2026 and

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27 In 2022, Singapore joined the U.S.-led Indo-Pacific Economic Framework, though this multilateral arrangement has been widely regarded as a nonbinding, suboptimal substitute for the TPP.

28 World Bank, "Singapore Trade at a Glance: Most Recent Values," World Integrated Trade Solution, 2026 ~ https://wits.worldbank.org/CountrySnapshot/en/SGP.

the Pacific Alliance–Singapore Free Trade Agreement in 2025 with Chile, Columbia, Mexico, and Peru. As of March 2026, Singapore had established an extensive network of 29 FTAs and 5 digital trade agreements, making it one of the world's most connected economies.[29]

To sustain relevance in a technology-driven global economy, the Singaporean government has prioritized domestic development in strategic industries, including artificial intelligence (AI) and quantum computing, complementing its external engagements with targeted capacity-building at home. Some of the signature initiatives, such as SkillsFuture, enable the continuous upskilling and reskilling of the population to support workforce mobility and strengthen city-state's ability to transition into high-value industries.[30] This effort is supplemented by the National AI Strategy and the 2025 economic blueprint, which aim to strengthen AI adoption across key sectors that will enhance productivity and environmental sustainability.[31] In addition, the government has crafted policies that target boosting enterprise capabilities, such as the Enterprise Financing Scheme that allows small and medium-sized enterprises to gain working capital loans at lucrative interest rates and a range of loans to support green practices in overseas and domestic projects by Singapore-registered companies.[32] Together, these initiatives reflect Singapore's holistic approach as a leading economy: domestic capacity-building complements external engagements with the aim to secure forward-looking growth, resilience, and strategic relevance in the volatile global environment.

By the 2000s, Singapore had converted post-independence scarcity into structural leverage through dense trade networks, institutional embeddedness, and reputational credibility that gave it the capacity to engage great powers on its own terms. This accumulated position, built under conditions of open multilateralism, forms the foundation on which Singapore's active management of great-power rivalry rests. These are precisely the conditions that the intensification of U.S.-China rivalry is now placing under stress.

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29 "Free Trade Agreements (FTAs)," Ministry of Tade and Industry (Singapore), March 18, 2026 ~ https://www.mti.gov.sg/trade-international-economic-relations/agreements/free-trade-agreements-fta.

30 "Refreshing our Economic Blueprint," Singapore Government, September 16, 2025 ~ https://www.gov.sg/explainers/parliament-refreshing-our-economic-blueprint.

31 Ibid.

32 Ibid.; and "Enterprise Financing Scheme," Enterprise Singapore, April 14, 2026 ~ https://www.enterprisesg.gov.sg/financial-support/enterprise-financing-scheme.

A "Perfect Long Storm": When Interdependence Becomes Vulnerability

Singapore's geoeconomic toolkit has allowed it to sustain a strategic balance between the United States and China, but its effectiveness has been structurally contingent. An open trading system and a bounded great-power rivalry have made hedging a viable option for Singapore, but these conditions are eroding as U.S.-China competition intensifies. The Singapore leadership warned in 2023 that a prolonged and intensifying great-power rivalry and trade war could destabilize the international order via an action-reaction cycle and bring about a global trading system where "protectionism is the default and trade rules are secondary," threatening Singapore's survival.[33]

Although global disruptions are not new, the speed, scale, and complexity of current changes are unprecedented, placing significant pressure on the country by creating what President Tharman Shanmugaratnam called a "perfect long storm."[34] The erosion of the liberal international economic order and weaponization of interdependence are two distinct challenges that are narrowing Singapore's room to maneuver and limiting its policy options. The liberal order—the post–World War II system involving multilateral norms and institutions that aimed at minimizing trade barriers and promoting economic freedom, openness, and cooperation—provided trade- and investment-dependent economies like Singapore with the opportunity to develop.[35] Prime Minister Lawrence Wong observed that "America is stepping back from its traditional role as the guarantor of order and the world's policeman. But neither China nor any other country is willing, or able to fill the vacuum."[36] The "Kindleberger trap," referring to the disruption of public goods provision during power transitions, is thus emerging.[37] While small and middle powers like Singapore and Japan have pledged to sustain the liberal order, it has historically depended on hegemonic underwriting.[38] Whether a coalition of emergent small and middle powers can substitute for that role remains an open question.

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33 Lee, "PM Lee Hsien Loong at the Debate."

34 Tharman Shanmugaratnam, "Confronting a Perfect Long Storm," International Monetary Fund, F&D Magazine, June 2022 ~ https://www.imf.org/en/publications/fandd/issues/2022/06/confronting-a-perfect-long-storm-tharman-shanmugaratnam.

35 Lee, "National Day Rally 2019 (Mandarin)."

36 Wong, "PM Lawerence Wong at the S Rajaratnam Lecture 2025."

37 Wijaya et al., "Pivotal Power of Small States."

38 G. John Ikenberry, *After Victory: Institutions, Strategic Restraint, and the Rebuilding of Order after Major Wars* (Princeton: Princeton University Press, 2009); and ibid.

Compounding the systemic challenge is the resurgence of weaponized interdependence. Both the United States and China have embraced economic coercion as a first resort,[39] and the hyperglobalization of the 1990s has made such a weapon more potent than ever.[40] Two factors are fueling this resurgence. First, a growing body of research suggests that economic coercion succeeds more often than previously assumed, particularly when accounting for the deterrent effects of threatened imposition, given that the rising costs and diminishing utility of policy substitutes, such as military force, make it a more cost-effective and favorable instrument.[41] Second, economic coercion might be perceived by some actors as a prestige good.[42] Beyond its primary utility, such coercion signals that the sender is a major power able and willing to bear the costs of the coercive action.[43] For states seeking to establish or consolidate their status in the international system, this signaling value may justify deployment even when the effectiveness of the coercion is low. China's growing resort to economic coercion plausibly reflects this logic as it consolidates its position as a great power. In recent practice, Washington and Beijing have both used their economic leverage and position as major network nodes to pursue narrow, self-interested goals. More significantly, they have moved beyond targeted actions against each other, instead deploying their geoeconomic leverage on an across-the-board scale, with allies and partners included.

Because the neoliberal premises underpinning Singapore's geoeconomic strategy—free trade, diplomacy, and multilateralism—depend on stable expectations and mutual benefit, the normalization of coercion directly undermines its effectiveness. Singapore's interdependence was constructed as a trade and economic enabler in the region, a defining feature of the city-state's economic leverage and indispensability to both the United States and China. With weaponized interdependence becoming more normalized, that same network centrality becomes a transmission mechanism for coercion, exposing an economic network–embedded state to it from both directions—simultaneously.

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39 Daniel W. Drezner, "Global Economic Sanctions," *Annual Review of Political Science* 27, no. 1 (2024): 9–24 ⇝ https://doi.org/10.1146/annurev-polisci-041322-032240.

40 Wijaya et al., "Pivotal Power of Small States"; and Henry Farrell and Abraham L. Newman, "Weaponized Interdependence: How Global Economic Networks Shape State Coercion," *International Security* 44, no. 1 (2019): 42–79 ⇝ https://doi.org/10.1162/isec_a_00351.

41 Drezner, "Global Economic Sanctions."

42 Ibid.

43 Lilach Gilady, *The Price of Prestige: Conspicuous Consumption in International Relations* (Chicago: University of Chicago Press, 2018); and ibid.

It is therefore unsurprising that the U.S.-Singapore FTA did not shelter the city-state from a 10% "liberation day" reciprocal tariff imposed by the Trump administration in April 2025—a rate that has persisted even after the Supreme Court struck down its legal basis in February 2026 since the tariff was immediately replaced by an equivalent global levy.[44] China similarly launched export restrictions on rare earths in response to U.S. tariffs and applied them across all trading partners (including Singapore), exploiting its dominance in the global critical minerals supply chain.[45] Although the Singaporean government assessed the direct impact of the curb as minimal,[46] the compliance risks and supply chain uncertainty they generate impose structural friction on economies embedded in Chinese mineral supply chains. In both cases of great-power action, Singapore was neither the intended target nor a major casualty, but it nevertheless received no exemption despite its close ties with both states.

The willingness of great powers to take such actions puts FTAs, Singapore's primary geoeconomic instrument, under direct strain. FTAs are instruments for cultivating interdependence. They rest on the assumption that interdependence would raise the cost of conflict and breaking ties. When major powers demonstrate a willingness to absorb those costs, as both Washington and Beijing have done, the benefits of economic interdependence dissipate. Singapore thus faces diminishing returns from a toolkit calibrated for a more restrained strategic environment.

Concerns over the potential for weaponized interdependence will further exacerbate fragmentation and undermine the formation of new global networks in the foreseeable future. Emerging technologies will be increasingly viewed through a security lens.[47] This is evident in the ongoing U.S.-China tech war, with 5G, semiconductors, and AI being the key industries affected. This competition is set to produce divergent

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44 Bhagyashree Garekar, "Tariffs on Singapore Expected to Stay Unchanged Even as Trump Imposes New 10% Global Levies," *Straits Times*, February 22, 2026 ~ https://str.sg/6ft3.

45 "Announcement No. 18 of 2025 of the Ministry of Commerce and the General Administration of Customs of the People's Republic of China Announcing the Decision to Implement Export Control on Some Medium and Heavy Rare Earth Related Items," Ministry of Commerce of the People's Republic of China, April 4, 2025 ~ https://english.mofcom.gov.cn/Policies/AnnouncementsOrders/art/2025/art_0dd87cbee7b045bf93fabe6ab2faceee.html.

46 "Written Reply to PQ on Implications of China's Export Curb of Rare Earth Element Materials on Singapore's Trade and Technology Sectors," Minister of Trade and Industry (Singapore), November 4, 2025 ~ https://www.mti.gov.sg/newsroom/written-reply-to--pq-on-implications-of-china-s-export-curb-of-rare-earth-element-materials-on-singapore-s-trade-and-technology-sectors.

47 Drezner, "Global Economic Sanctions."

technological and regulatory standards, which risk forcing third countries, including Singapore, to choose sides.[48]

The intensification of great-power rivalry has not rendered Singapore's geoeconomic strategy obsolete, but it has materially raised the cost of sustaining it and subsequently compressed the policy space within which hedging remains viable. Economic interdependence no longer functions reliably as insulation: where embeddedness once generated Singapore's leverage, it now risks deepening Singapore's exposure to contested economic networks. Both the erosion of the liberal international economic order and the weaponization of interdependence are narrowing the conditions under which Singapore can maneuver without being forced toward alignment it does not want and cannot afford.[49] Singapore's leaders have the resolve and political will to make further adjustments to its domestic and foreign economic policies, but the city-state's broader strategic culture will need to recalibrate faster than the rapidly changing structural environment.

Implications

Amid shifting power asymmetries, Singapore's pursuit of a more stable external environment is anchored in an increasingly careful balancing act of diversifying, rather than limiting, strategic economic and security partnerships with a broad range of middle and major powers. Doing so enables small states like Singapore to avoid making difficult trade-offs while retaining maximum room to maneuver without becoming subordinated to any hegemon.

In preserving their strategic agility, most Asian countries are wary of statecraft that employs exclusive economic or strategic alignment tendencies, not least with concerns for the potential weaponization of trade.[50] Singapore is cognizant of the region's political realities: it is in close geographic proximity to and is deeply economically intertwined with China, making it highly attuned to the sensitivities and costs of being caught amid a protracted rivalry or, worse yet, pursuing zero-sum economic alignment with one great power over the other. As a result, Singapore has long sought to more cautiously avoid direct confrontation than Washington and is likely

48 Ja Ian Chong, "Other Countries Are Small Countries, and That's Just a Fact: Singapore's Efforts to Navigate U.S.-China Strategic Rivalry," in *China-U.S. Competition*, ed. Simona A. Grano and David Wei Feng Huang (London: Palgrave Macmillan, 2023), 307–38.

49 Ibid.

50 Chin-Hao Huang and Selina Ho, "Domestic Determinants of Southeast Asia's Relations with the United States and China," *Contemporary Southeast Asia* 46, no. 1 (2024): 1–18.

to continue to do so, even as the United States views strategic competition with China as essential to maintaining its regional and global influence. The looming risk of being forced to "pick a side" will become even more acute if the United States' sense of urgency to constrain China continues to outpace that of its partners in the region like Singapore.[51] This divergence could lead to increased expectations and pressure on partners to align even more closely with the United States and adopt more confrontational economic policies toward China that they might otherwise prefer to avoid. Aside from external instabilities, including possible economic retaliation from its closest trading partner, ASEAN as an institution risks fragmentation if its members take different sides. This could undermine efforts by ASEAN as a collective to maintain its strategic relevance and centrality, leading to further instability.

Rather than sitting on the sidelines of the international order, Singapore is actively pursuing a commonsensical approach in its geoeconomic statecraft: ensure maximum flexibility in its economic alignment options and facilitate mobility as and when necessary. The logic, to put it simply, is straightforward: who can help the country depends on when agendas coincide, and this is neither permanent nor definitive. Singapore (and Southeast Asia, more broadly) must undertake constant adjustment to maintain its strategic positioning to avoid making costly choices. This begins with a change in mindset: rather than relying on the great powers to sustain and maintain global order and stability, small states like Singapore must punch above their weight and take a more proactive stance of "flexible multilateralism."[52] This entails building new coalitions of economic and security partners with as many like-minded states as possible to forge pragmatic cooperation on functional issue areas such as the digital economy, sustainability, and food security. Whether the United States or China has "won" in Southeast Asia remains a conclusion not yet foregone but one that can be managed more conscientiously and efficiently by being more attentive and responsive to Singapore's preferences and its priorities of strategic diversification that minimize its vulnerability to economic coercion. ◈

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51 Natasha Gamesan, "If Singapore Has to Pick a Side, It Will Choose Principles, Says Chan Chun Sing," CNA, June 1, 2025 ~ https://www.channelnewsasia.com/singapore/shangri-la-dialogue-chun-chun-sing-defence-global-order-5161716.

52 Lawerence Wong, "PM Lawrence Wong at the Q&A Segment of the 2025 'Summer Davos' World Economic Forum Dialogue," Prime Minister's Office (Singapore), June 25, 202 ~ https://www.pmo.gov.sg/newsroom/pm-lawrence-wong-at-the-qna-segment-of-the-2025-summer-davos-wef-dialogue.